MULTILATERAL CONTRACTING IN STAGE FINANCING

BY FULGHIERI, HU, & VARAS

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MOTIVATION

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- Rounds financing: raise new capital from new investors
- Milestone financing: raise new capital from existing investors

QUESTIONS

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When should they be done by different investors?

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Screening, funding, liquidation or continuation

MAIN RESULTS

Characterize equilibrium under each arrangement (Props 1 & 3)

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Main comparison: Rounds vs. milestone

- Rounds better when backloading is costly

KEY TRADE-OFF

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[+] One payment: Incentivizes both actions

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[−] Existing stake: Incentive to continue absent screening (soft-budget)

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Passive investor holds senior debt and all equity after continuation

COMMENTS

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Suggestion: Model renegotiation

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Suggestion: Relax commitment assumptions

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Suggestion: Include passive investors' ICs explicitly

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Suggestion: Explore mechanisms in which passive investors do not act

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Suggestion: Consider more general optimal contracting problem

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Suggestion: Map model to exit and study effort after $t = 1$

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Suggestion: Show span of securities and what arrangements lie outside it

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Matters: Clarifies insight and determines contribution

Suggestion: More economics relative to accounting

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Comments:

1. Renegotiation
2. Commitment
3. Liquidation incentives
4. Are passive investors passive?
5. Other arrangements
6. Early exit?
7. Implementation
8. Economics and contribution